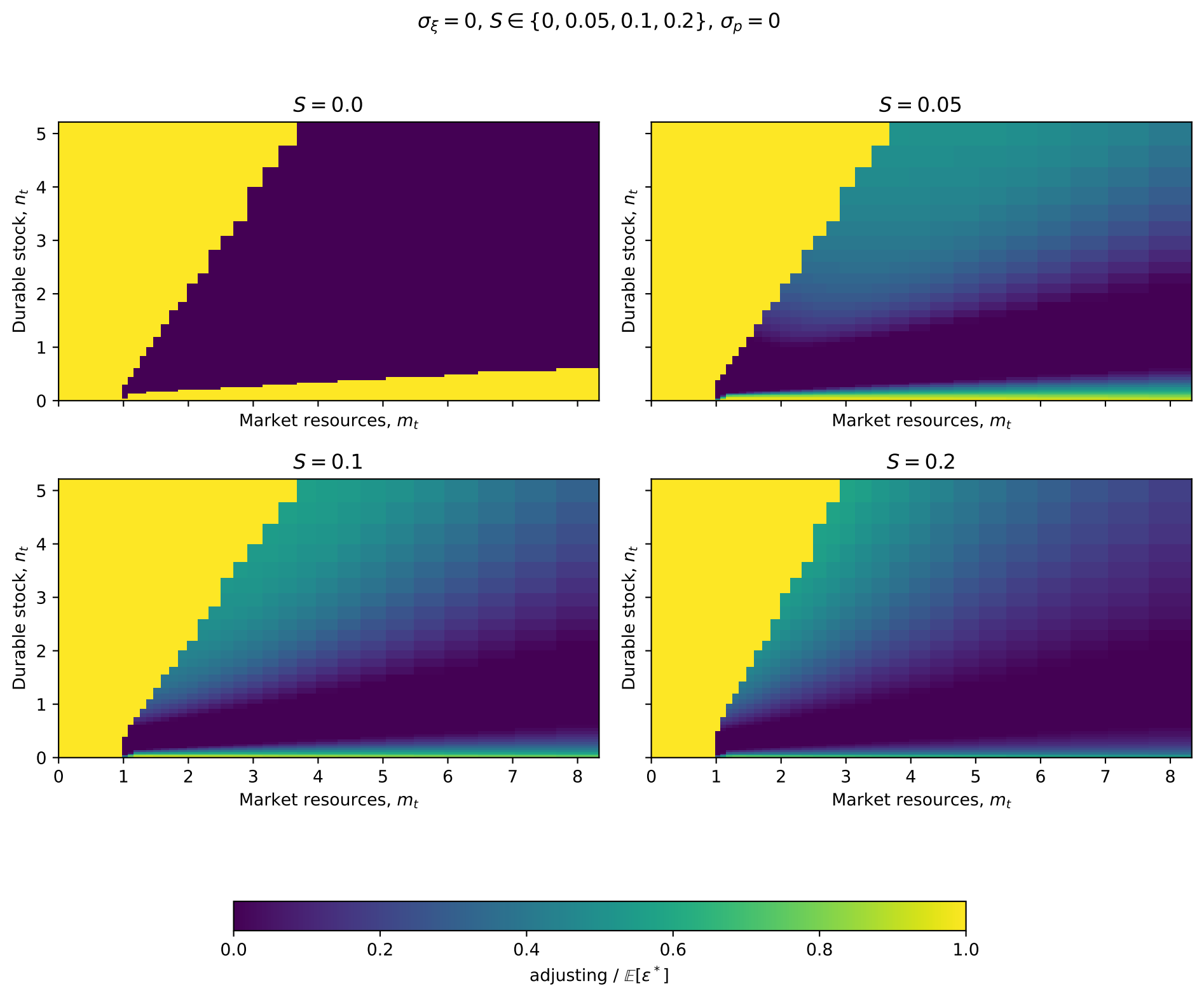

$\sigma_\xi = 0$, $S \in \{0, 0.05, 0.1, 0.2\}$, $\sigma_p = 0$
$S = 0.0$
$S = 0.05$
$S = 0.1$
$S = 0.2$
Durable stock, $n_t$
Market resources, $m_t$
0
1
2
3
4
5
6
7
8
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$